AIB AXYS
AFRICA

www.aib-axysafrica.com



Earnings Note

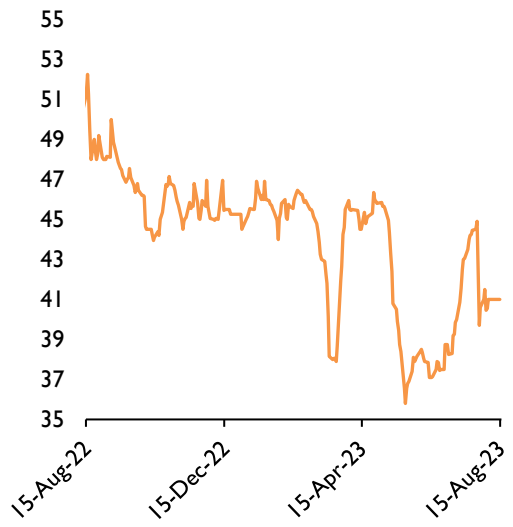
research@aib-axysafrica.com

Company details

Bloomberg Ticker	EQTY:KN
NSE Code:	EQT
Issued Shares (Bn)	3.77
52-week high:	50.00
52-week Low	35.80

As at 15th August 2023

Price chart – Last 12 Months



AIB-AXYS Research, NSE

Historical Price Performance

	1m	3m	6m	12m
Absolute	**5.46%**	**0.49%**	**-11.81%**	**-20.59%**

AIB-AXYS Research, NSE

Analysts

Solomon Kariuki

ks@aib-axysafrica.com

Stacy Makau

smakau@aib-axysafrica.com

August 16th 2023

Equity Group HY'23 Earnings Note

Recomm: BUY | **Current Price**: KES 40.70 | **Target Price:** KES 56.11

Stock Update

Result Update

Summary

- **Equity Group released their HY'23 earnings results posting a 7.77% y/y and 7.31% y/y increase in PAT and EPS respectively** to KES 26.33Bn and KES 6.75 per share respectively. The lenders bottom line growth was driven by a 16.55% y/y increase in net interest income and a 41.19% y/y increase in non-interest income and weighed down by a 37.40% y/y increase in operating expenses. Trailing ROaE and ROaA declined to 27.85% and 3.22% respectively in HY'23. NIMs remained adequate at 7.19% while the profit margin edged down y/y to 31.77%.

- **Loan book grew by 25.61% y/y to KES 817.19Bn faster than the 21.04% y/y growth in the customer deposits to KES 1.18Tn** leading to 253bps decrease in the loan deposit ratio to 69.53% from 67.00% recorded in HY'22. On a q/q basis, Loan book concentration to corporate declined to 39.00% while allocation to SME'S as a percentage of the loan book increased to 26.00% from 25.00% in Q1'23. Loan book growth was driven by highest increase in lending from Kenya and DRC while deposit mobilization was highest in Uganda and Rwanda. In terms of value of digital loans disbursed, the mobile loan to branch loan mix was at 34:66 while the transaction count was at 87:13 signifying the higher loan tickets in the branches. We also observed the share of foreign currency loans climbing to 51.20% from 45.90% in H1'22 attributable to shilling depreciation and dollar shortage leading to difficulties in settling loans. We observed a 23.31% increase in the balance sheet size to KES 1.64Tn which we attribute to regional expansion. Allocation to government securities increased by 33.04% y/y to KES 485.64Bn, faster than the loan book growth, driven by higher yields on government securities.

Key Highlights

- **Non-Funded Income Outperformed Net Interest Income:** Non-Funded Income grew 41.19% y/y to KES 36.49Bn faster than the 16.55% y/y increase in Net Interest Income to KES 46.39Bn. The jump in NFI was attributable to increased trade finance lending by +45.63% y/y and higher forex trading income by 67.98% y/y highlighting the impact of the prevailing dollar shortage which has created arbitrage opportunities. Consequently, the NII:NFI revenue mix shifted to 56:44 in favor of non funded income from 61:39 recorded in HY'22. Net Interest Margin (NIM) increased to 7.19% driven by faster increase in YIEA compared to Cost of Funds. YIEA increased to 10.44% y/y driven by the approval of risk-based model lending which has adjusted loan pricing upwards and new investments into government securities at higher interest rates. Higher interest income from deposits with other banking institutions (+350.38% y/y) is reflective of tighter liquidity (average of 9.24% in Q2'23 vs 4.78% in Q2'22) among banking institutions in the Kenyan market. Cost of funds increased to 3.35% y/y resulting from the high interest rate environment and increased competition consequently making customer deposit mobilization more costly.
- **Asset Quality Concerns Emerge:** Gross NPLS's edged up 59.78% y/y to KES 97.51Bn while the NPL ratio increased by 130bps to 9.80%. Meanwhile, the NPL coverage declined to 54.50% from 64.07% in HY'22 driven by higher impairment provisioning (+73.61% y/y) growing faster than gross NPLs. At a subsidiary level, South Sudan, Tanzania and Kenya recorded the highest NPL ratios 20.30%, 16.60% and 11.20% respectively. On a q/q basis, net NPL's increased by 45.62% to KES 44.37Bn of which KES 10.40Bn was from the Kenyan subsidiary(+57.23% q/q). We expect the asset quality to continue coming under pressure resulting from depressed macros across operating markets.

Other Performance Metrices

I. **DRC Posts Strong Growth –** Equity BCDC in DRC has continued to be a strong profitable regional subsidiary by recording an impressive jump in PAT by 105.00% y/y to KES 6.20Bn with revenue increasing by 80.00% y/y to KES 23.70Bn. However, we observed a slower growth in deposits (+33.00% y/y) compared to an impressive loan book growth (+73.00% y/y), the highest among the regional subsidiaries. The subsidiary's ROaE of 24.70% remains lower than the groups average of 27.70%. We observed a decline in cost to income ratio to 51.70% (64.30% in H1'22) , pointing to higher investment efficiency, albeit remaining higher than the groups ratio of 49.01%. We expect that with continued expansion and infrastructural development in the subsidiary, operating expenses will continue rising given that the subsidiary is still in its investment phase. We noticed impressive PAT performance by the South Sudanese subsidiary (+222.00% y/y to KES 1.20Bn) and Tanzania (+93.00% y/y to KES 0.60Bn). Notably, we observed the continued improvement in the Tanzanian business with improvements in ROaE , ROaA and NPL's after lagging behind the other regional businesses.

II. **Trade Finance is the New Growth Frontier –** In recent years, EQTY has increased organization of trade missions with particular emphasis on DRC and other frontier markets. The lender has also established itself as the industry leader in off-balance sheet finance in the Kenyan market. The results saw the increase of trade finance lending by 45.63% y/y to KES 50.10Bn while off balance sheet and guarantees increased 12.75% y/y to KES 178.60Bn. Consequently, income from trade finance activities climbed by 119.23% y/y to KES 5.70Bn largely driven by financing of soft commodities trading. We anticipate continued growth in this front resulting from regional economic recovery coupled with trading between EAC countries.

III. **Increased Allocation to Government Securities -** We observed the allocation to government securities increased by 33.04% y/y to KES 485.64Bn which we attribute to the 110bps increase in yield on government securities to 11.10% from 10.00% in HY'22. Consequently, there was increased treasury income by 32.94% y/y to KES 33.90Bn. Notably, with the exposure to Kenya Eurobonds, we witnessed a decline (-82.52% y/y) in the loss of FVOCI financial assets to KES(6.81)Bn from KES (38.95)Bn resulting from the decline in the sovereign yields. We expect the losses to be maintained in FY'23 given the unpleasant view for the Kenyan macro environment driven by continued shilling depreciation and lower economic outlook. However, since the majority of the bonds will mature after 2032, we still see room for the revision and correction of the pricing.

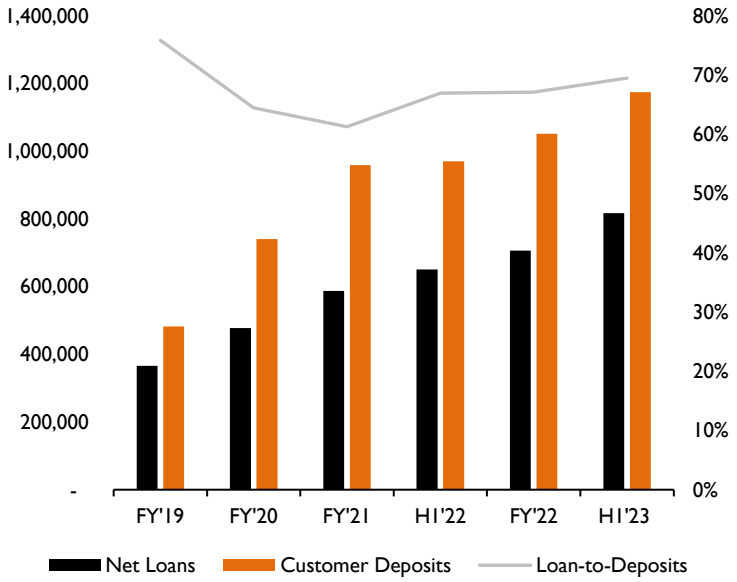
IV. **Decline in Digital Channels Reduces Efficiency-** The Cost to Income ratio less impairment declined 234bps on a year-on-year basis to 49.01% mainly attributed to lower uptake of digital channels. Decline in the digital channels was driven by the decline in pay with Equitel. Similarly, we noticed a decline in the transaction usage of the mobile app and internet banking. The cost to assets less impairment declined 23bps y/y to 2.73%. In line with the industry trend, loan loss provisions increased 73.61% y/y to KES 7.10Bn indicating increased lending risk despite the implementation of risk-based lending.

Outlook – We expect Non-Funded Income to be driven by regional subsidiaries led by DRC, growth of trade financing, forex trading revenue and an uptake of digital channels. We foresee the banks lending will be supported by continued focus on SME credit and enhanced efforts tailored to specific sectors such as trade finance and infrastructure funding in the subsidiaries. We anticipate with continued implementation of risk-based model, yields on loans will improve. Furthermore, we anticipate that the diversification into general insurance will drive business growth. However, we remain concerned on the impact of currency depreciation on key balance sheet line items which could potentially blur the true picture of the actual financial position.

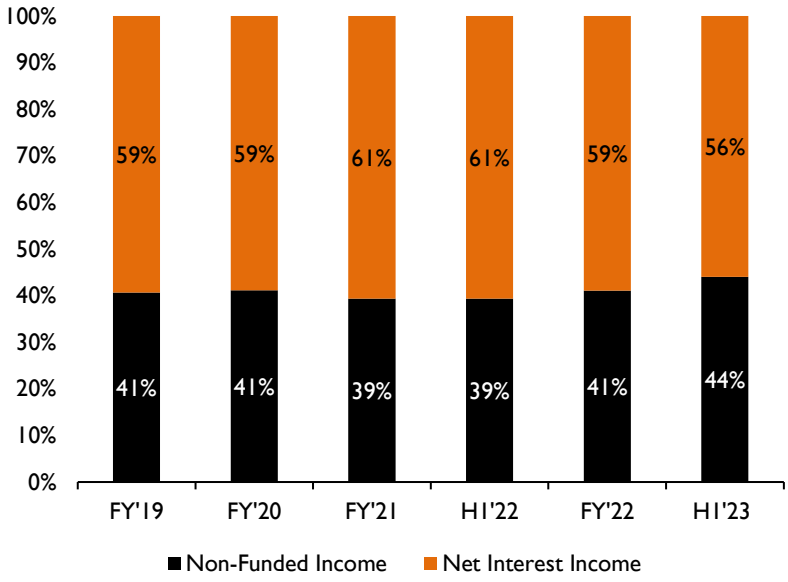
Valuation – The counter is currently trading at a P/B multiple of 0.79x and a P/E ratio of 6.03x. The counter closed yesterday's trading at KES 40.70, a YTD loss of 8.54%. We maintain our **BUY** recommendation on the counter with a target price of KES 56.11 representing an upside of 37.86% from yesterdays closing price.

Equity Group HY'23 Earnings Charts

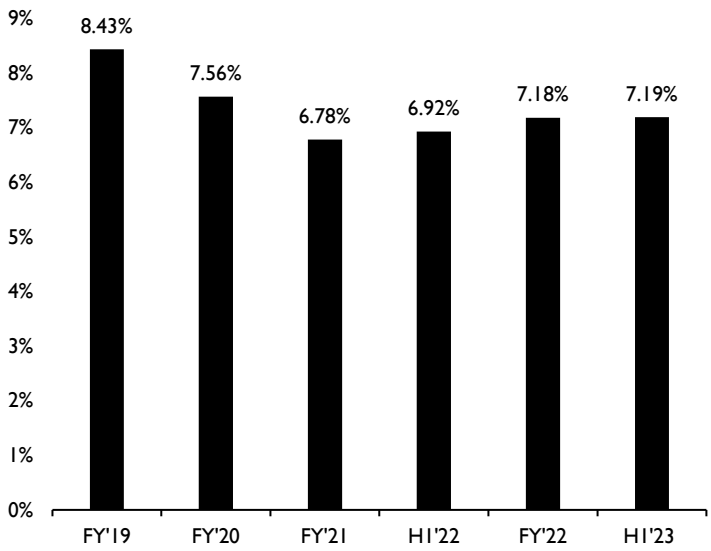
Graph 1: Customer Deposits continues to drive Balance sheet growth



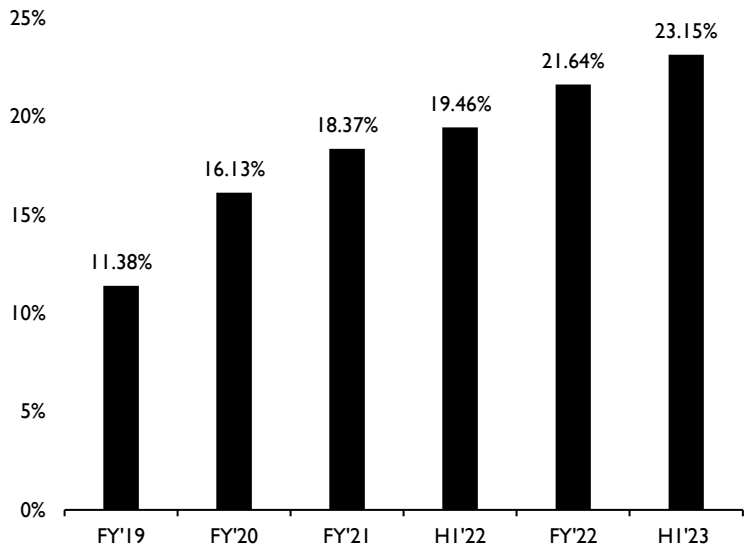
Graph 2: Revenue mix continues to favor Non-Funded Income



Graph 3: We observed a slight uptick in Net Interest Margins



Graph 4: Forex Income as a % of Net Income Continues to Pick up



Source: NSE, CBK, Company Fillings, AIB-AXYS Analyst Estimates

Financial Statement Summary

1. Statement of Profit and Loss

Income Statement	FY'19	FY'20	FY'21	H1'22	FY'22	H1'23	y/y % Change
Net Interest Income	44,982.36	55,148.79	68,810.97	39,803.84	85,999.04	46,390.07	16.55%
Net non-Interest Income	30,780.05	38,508.08	44,575.42	25,844.50	59,936.18	36,490.36	41.19%
Total Operating income	75,762.41	93,656.87	113,386.39	65,648.33	145,935.22	82,880.42	26.25%
Provision for Impairment	(5,302.57)	(26,631.27)	(5,844.71)	(4,086.98)	(15,414.32)	(7,095.60)	73.61%
Total Operating expenses	(44,284.98)	(72,664.47)	(61,505.37)	(34,730.40)	(86,091.44)	(47,718.64)	37.40%
Profit before tax	31,477.43	22,169.79	51,881.02	30,917.94	59,843.79	35,161.78	13.73%
Profit after tax	**22,560.71**	**20,099.55**	**40,071.61**	**24,430.48**	**46,102.54**	**26,328.31**	**7.77%**
Adjusted Core EPS (Annualized)	5.93	5.24	10.86	12.58	11.90	13.50	7.31%

2. Statement of Financial Position

Balance Sheet	FY'19	FY'20	FY'21	H1'22	FY'22	H1'23	y/y % Change
Government Securities	138,572.96	217,407.89	394,101.45	365,023.14	393,983.86	485,643.08	33.04%
Loans and Advances	366,440.46	477,847.19	587,775.07	650,556.50	706,588.16	817,186.43	25.61%
Total Assets	**673,682.54**	**1,015,093.32**	**1,304,913.82**	**1,333,860.88**	**1,447,010.58**	**1,644,786.77**	23.31%
Customer Deposits	482,752.13	740,800.78	958,977.00	970,942.91	1,052,161.60	1,175,252.11	21.04%
Total Liabilities	561,905.88	876,452.52	1,128,722.45	1,183,473.89	1,264,799.30	1,450,454.62	22.56%
Total Equities and Liabilities	**673,682.54**	**1,015,093.32**	**1,304,913.82**	**1,333,860.88**	**1,447,010.58**	**1,644,786.77**	23.31%

3. Key Metrics

	FY'19	FY'20	FY'21	H1'22	FY'22	H1'23
Growth Metrices (y/y)						
Loan book Growth	23.29%	30.40%	23.00%	28.86%	20.21%	25.61%
Customer Deposits Growth	14.19%	53.45%	29.45%	18.45%	9.72%	21.04%
PAT Growth	13.81%	-10.91%	99.37%	36.16%	15.05%	7.77%
Spreads Analysis						
Yield on Assets	11.19%	10.12%	9.30%	9.53%	9.99%	10.44%
Cost of Funds	2.93%	2.70%	2.65%	2.83%	2.93%	3.35%
Net Interest Margin	8.43%	7.56%	6.78%	6.92%	7.18%	7.19%
ROaE	22.03%	16.55%	25.99%	30.48%	29.05%	27.85%
ROaA	3.62%	2.38%	3.45%	3.80%	3.35%	3.22%
Profit Margin	29.78%	21.46%	35.34%	37.21%	31.59%	31.77%
Operating Effiency						
Cost of Income Less LLP	51.45%	49.15%	49.09%	46.68%	48.43%	49.01%
Cost of Assets	6.25%	5.45%	4.80%	2.50%	5.14%	2.73%
Loan to Deposit	75.91%	64.50%	61.29%	67.00%	67.16%	69.53%
Asset Quality						
NPL	9.45%	11.53%	8.62%	8.85%	8.41%	11.20%
NPL Coverage	47.52%	62.40%	68.73%	64.07%	70.53%	54.50%
Cost of Risk	1.45%	5.57%	0.99%	0.63%	2.18%	8.56%
Capital Adequency						
Core Capital/TRWA	16.30%	14.80%	12.90%	15.50%	15.60%	15.00%
Total Capital /TRWA	21.40%	18.90%	17.70%	20.20%	20.20%	19.00%
Liquidity	52.10%	59.30%	63.40%	53.20%	52.10%	51.10%

******Key Metrices are on a Trailing basis***

Source: Company Fillings, AIB-AXYS Estimates



Research Desk

Solomon Kariuki
Research Analyst

Stacy Makau
Research Analyst

Email: research@aibaxysafrica.com

Equities Dealing

Nina Goswami

Bernard Kung'u

Bernard Gichuru

Brian Tanui

Samuel Githinji

Sheema Shah

Samuel Wachira

Benson Ngugi

Email: trading@aib-axysafrica.com

Bonds Dealing

Crispus Otieno

Titus Marenye

Aundrina Musyoka

Kenneth Minjire

Disclaimer

AIB-AXYS Africa and its parent company AXYS Group seek to do business with companies covered in their research reports. Consequently, a conflict of interest may arise that could affect the objectivity of this report. This document should only be considered a single factor used by investors in making their investment decisions. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. The opinions and information portrayed in this report may change without prior notice to investors.

This publication may not be distributed to the public media or quoted or used by the public media without prior and express written consent of AIB-AXYS Africa or AXYS Group.

This document does not constitute an offer, or the solicitation of an offer, for the sale or purchase of any security. Whilst every care has been taken in preparing this document, no representation, warranty or undertaking (express or implied) is given and no responsibility or liability is accepted by AIB-AXYS Africa or any of its employees as to the accuracy of the information contained and opinions expressed in this report.